Eli Lilly and Company

LLY-US · 2Q26 earnings update

Quarter ended 30 June 2026 · Reported 5 August 2026 · Price $1,146.41 (18 Sep 2026) · Mkt cap $1.02tn

Position summary: thesis intact, execution ahead of expectations, and the risk has rotated from demand to price. No rating or price target is issued in this note — the recommendation line is for the portfolio manager. Analytical conclusion: the quarter validates the volume engine; the two things that decide the next twelve months (Q4 net-price reset, retatrutide filing) are both still ahead.

Lilly delivered a large beat-and-raise. Revenue of $22.97bn grew 48% year over year and cleared consensus by roughly 11%, driven by the incretin franchise: Mounjaro and Zepbound together contributed $6.29bn of the $7.42bn absolute revenue increase — 85% of all growth. Non-GAAP EPS of $8.38 absorbed $3.03 per share of acquired IPR&D from four completed acquisitions; excluding that charge the underlying figure was $11.41 against $6.31 a year ago. Full-year revenue guidance rose $2.5bn at the midpoint and the performance-margin range rose two points, while the EPS midpoint slipped $0.25 purely because a $2.78 operational raise was more than offset by the IPR&D charge. The central tension in the quarter is not demand — it is price.

REVENUE	VS. CONSENSUS	NON-GAAP EPS	EPS EX-IPR&D	GROSS MARGIN	FY26 REVENUE
$22.97bn	+10.8%	$8.38	$11.41	86.3%	$85–87bn
+47.7% YoY	$20.73bn est.	+32.8% YoY	+80.8% YoY	+130 bps	raised $2.5bn

Headline results

Positives

- Broad-based revenue beat. $22.97bn, +48% YoY, ahead of ~$20.73bn consensus by 10.8%; H1 revenue of $42.8bn is up 51%. The fourth consecutive beat-and-raise quarter.
- Incretin franchise at scale. Mounjaro $9.94bn (+91%) and Zepbound $4.93bn (+46%) — $14.87bn combined, larger than the entire quarterly revenue of most pharmaceutical companies.
- Margins expanded. Non-GAAP gross margin 86.3% (+130 bps) on favourable mix and better production costs; company-defined performance margin 54.8%, up 900 bps.
- Operating leverage is real. R&D fell to 16.6% of revenue from 21.4%; MS&A to 14.9% from 17.7% — both grew in dollars, far slower than the top line.
- Newer launches are scaling. Ebglyss +131% to $201m, Kisunla $49m→$167m, Jaypirca +56% to $192m, plus first revenue from Foundayo ($98m) and Inluriyo ($75m).
- Guidance raised twice this year. FY26 revenue to $85–87bn from $82–85bn; performance margin to 49.0–50.5% from 47.0–48.5%.

Negatives

- EPS diluted by deal charges. GAAP EPS +26% lagged revenue +48%, reflecting $3.03/share of acquired IPR&D (Orna, Ajax, Centessa, Kelonia) plus $703m of impairment and restructuring.
- Tax rate stepped up. Reported ETR 23.3% from 16.5%; non-GAAP 22.2% from 16.5% — largely because IPR&D charges are mostly non-deductible. This recurs with every bolt-on.
- EPS guidance midpoint fell $0.25 even as revenue guidance rose, because $2.78 of operational upside was more than offset by $3.03 of new IPR&D. Further M&A repeats the pattern.
- Realised price is falling. Down 13% worldwide; US −3% as reported but −9% excluding one-time rebate revisions; ex-US −36%. Management expects the pressure to continue.
- Oral GLP-1 launch slow. Management described the Foundayo US launch as slower than anticipated despite heavy promotional spend, though new-patient share recently inflected.

Figure 11 | Beat on revenue; EPS optics

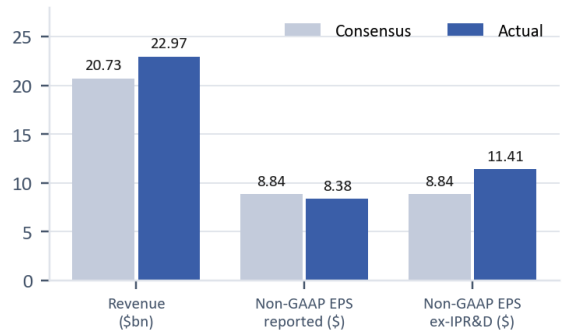


Figure 13 | Operating leverage

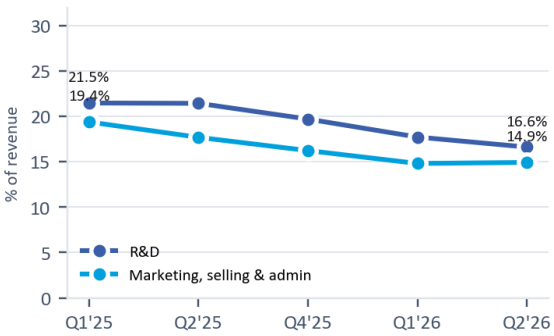
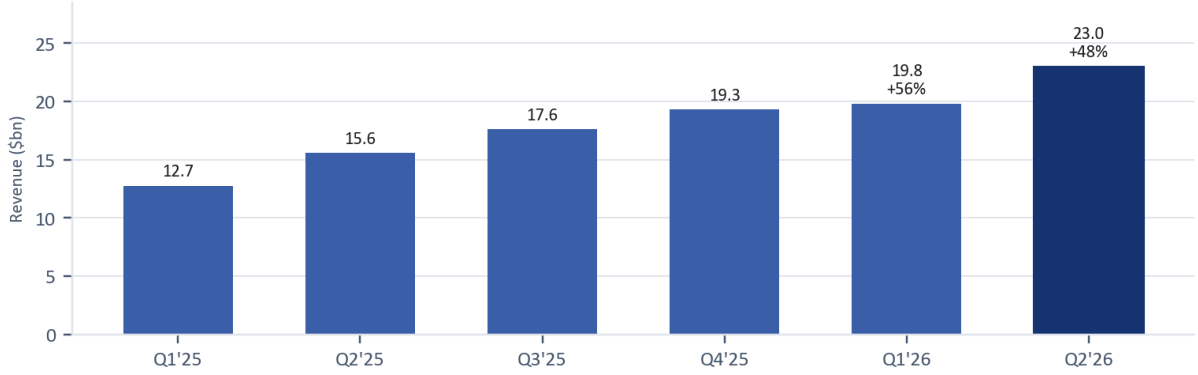


Figure 1 | Quarterly revenue and year-over-year growth

Worldwide revenue, $bn. Growth shown for quarters with a like-for-like comparator. Source: LLY Form 8-K releases.



Geographic highlights

Rest of world led with 136% constant-currency growth, then China 93%, Europe 55%, the US 33% and Japan 30%. The international incretin market expanded ~74% with Lilly holding about 55% global share. US revenue of $14.41bn grew 33% — 37 points of volume against a 3-point price decline — while ex-US revenue of $8.56bn grew 80% on 113 points of volume against a 36-point price decline. The US remains the larger profit pool; ex-US growth is increasingly a volume story funded by steep price concessions, most visibly in China, where NRDL inclusion traded price for a far larger addressable population.

Figure 3 | All growth is volume

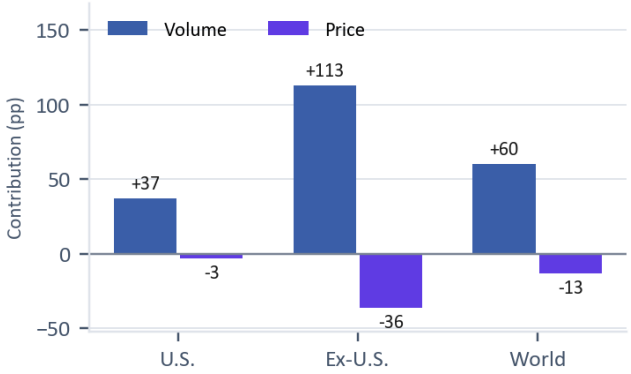
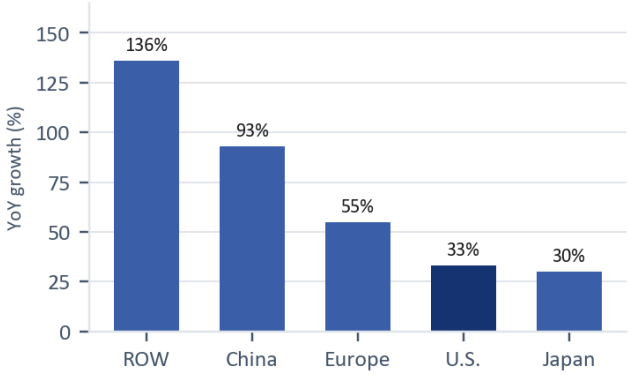


Figure 4 | Growth by region (const. FX)



Segment highlights

Within Mounjaro, US revenue was $4.79bn (+45%) and international $5.15bn (+172%) — international now contributes more than half of Mounjaro sales, a structural shift toward the lower-price, higher-volume book. Zepbound remains effectively US-only at $4.87bn, making it a purer read on US obesity share. Cardiometabolic health reached $18.35bn (+61.8%) and is now 79.9% of the company, up from 72.9%. Oncology grew 6.5%, held back by Verzenio at −1% as US revenue fell 9%; immunology grew 12.8% and neuroscience 24.7%. Management cited 121% collective growth for newer oncology, immunology and neuroscience products; the areas themselves grew 9.6% — both true, only one describes the P&L.

Figure 2 | Largest products ($bn)

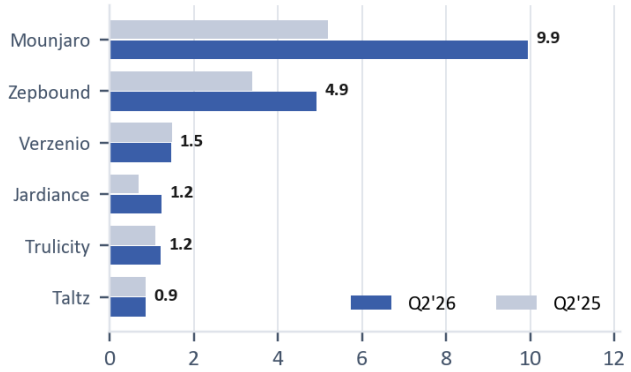
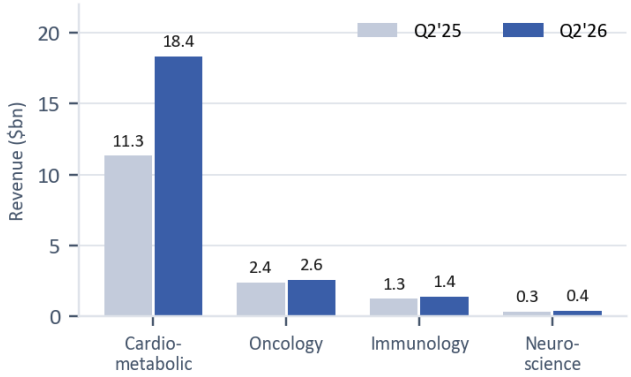


Figure 6 | Revenue by therapeutic area



Guidance, margins and cash

FY2026 guidance	Prior	Updated	Direction
Revenue	**$82–85bn**	**$85–87bn**	**Raised $2.5bn at midpoint**
Performance margin	47.0–48.5%	49.0–50.5%	Raised 200 bps
Tax rate	18–19%	18–19%	Unchanged
EPS (non-GAAP)	**$35.50–37.00**	**$35.50–36.50**	**Midpoint –$0.25; range narrowed**

Guidance excludes acquired IPR&D incurred after 30 June 2026 and assumes ~894m diluted shares at FX of 1.14 (EUR), 153 (JPY), 7.1 (CNY). Source: LLY Form 8-K, 5 August 2026.

Management guided implied second-half growth below the 48% posted in Q2 for three stated reasons: the one-time rebate-estimate benefits in Q2 do not repeat; H2 2025 contained a bolus of Mounjaro launches in new countries, so future growth must come from penetration rather than new-market entry; and normal seasonality (European softness in Q3, US type-2 diabetes seasonality in Q4) is embedded. At the midpoint, implied H2 revenue is ~$43.2bn against $42.8bn in H1 — modest sequential progression that leaves room for a further raise if the Medicare Bridge ramp holds. The guide reads conservative rather than cautionary.

Figure 9 | FY26 revenue guidance raised $2.5bn

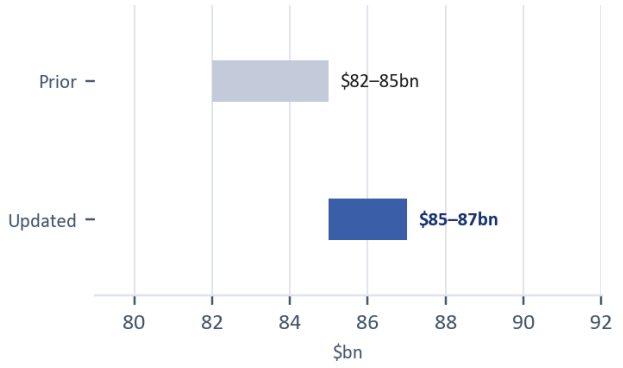
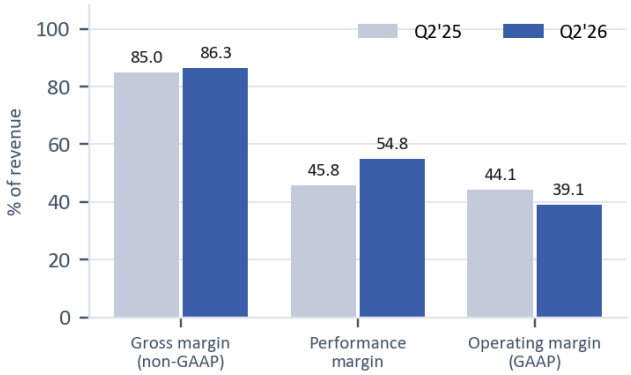


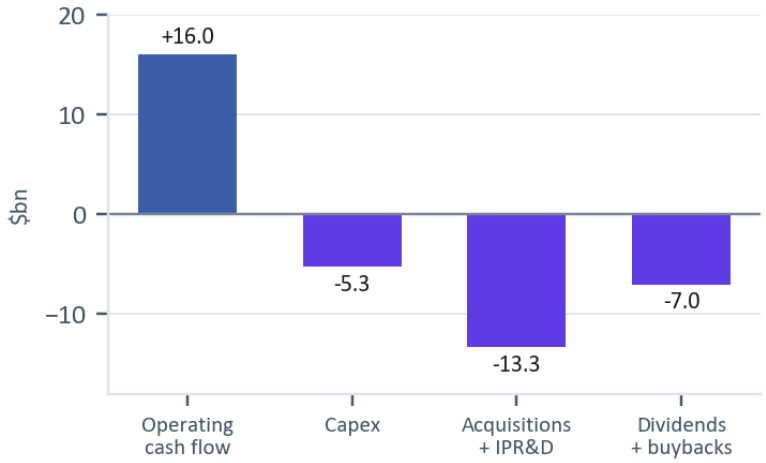
Figure 8 | Operating leverage vs. GAAP optics



The EPS 'miss' that was not one

Sources disagree on whether Lilly beat or missed on earnings, and both work from defensible consensus figures. Against ~$6.01 — compiled before the quarter's business development was known — the $8.38 result was a 39% beat. Against an IPR&D-inclusive $8.84, it was a 5.2% miss. Neither is informative alone. Acquired IPR&D is a real cash outflow ($3.49bn of IPR&D purchases and $9.81bn of cash for acquisitions in H1) but it is discretionary, lumpy, and by construction unforecastable by analysts who do not know which deals close when. Lilly's own guidance excludes it for exactly that reason. Operating result ex-charge: $11.41 against $6.31.

Figure 10 | H1 cash generation and use



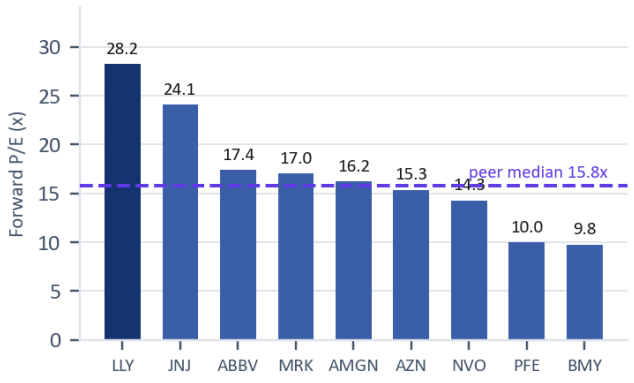
Capital allocation: Lilly deployed $20.3bn against $10.8bn of free cash flow in H1, funding the gap with $8.9bn of long-term issuance and $5.3bn of commercial paper. Debt/equity is now 1.62 against a 0.74 peer median. This is a deliberate conversion of an earnings windfall into pipeline and capacity; it will not be testable for years. The dividend is unaffected — a 22.5% payout ratio against a 62% peer median leaves substantial headroom.

Headwinds and risks

- Pricing and rebate pressure is the dominant near-term risk. Realised price fell 9% in the US (ex one-time revisions) and 36% ex-US. Both the release and the call frame current growth as entirely volume-driven. The Zepbound 'medical exception' channel — which arose because CVS formulary restrictions pushed patients to cash or competitors — shrinks as CVS returns the product to standard formulary in Q4 2026. Management has pre-announced that realised price per prescription will fall; the test is whether volume offsets it.
- Concentration. Two brands of one molecule are ~65% of revenue and delivered 85% of growth. Any safety signal, manufacturing interruption or formulary exclusion in tirzepatide is not diversifiable within the P&L. Ex-cardiometabolic, the rest of the business grew 9.7%.
- Retatrutide filing pathway. Lilly maintains retatrutide is a biologic under the amino-acid-count rule; a prior court decision went the other way and litigation is active. A Q1 2027 BLA target depends on resolving it, and CMC data is still being assembled. This is a dateable legal risk to an asset carrying a meaningful share of the valuation premium.
- Policy. The Medicare agreement covers Zepbound and Mounjaro at $245 from April 2026 — roughly a 55% discount to prior net price — in exchange for a three-year tariff exemption. That removes a tail risk but establishes a reference price that is far easier to move down than up. Most-favoured-nation pricing remains unresolved and drew no management commentary.
- Execution on deployed capital. $13.3bn of H1 acquisition and IPR&D spend, substantially debt-funded, across psychiatry, vaccines, in vivo CAR-T and JAK — areas where Lilly has less commercial history than cardiometabolic health.
- Undisclosed supply-chain dependency. Contract manufacturers, API suppliers and device component vendors are not disclosed in public filings, so single-source risk in the tirzepatide chain cannot be assessed. Given the concentration above, this is the highest-severity unmodelled risk.

Valuation

Figure 12 | LLY vs. large-cap pharma



LLY trades at 31.8x the FY26 guidance midpoint, 29.4x adding back the Q2 IPR&D already absorbed, and 24.3x the FY2027 consensus EPS of $47.26 — which has risen 6.2% in 90 days on 13 upward revisions against 1 down.

Against peers that is a ~79% premium on forward P/E and ~80% on EV/EBITDA,

for growth roughly 8–10x the sector and the highest operating margin in the group (49.7%).

A conservative DCF — 10-year explicit forecast, 7.5% WACC, 2.5% terminal growth — values the equity at $1,020 per share, 11% below spot. It gives zero credit to retatrutide, the four acquisitions, or further obesity-market expansion. At a 7.0% WACC it produces $1,143, i.e. the market price. The gap is a discount-rate argument, not a valuation indictment.

Sell-side: ~45 analysts, 73% Buy/Strong Buy, average target $1,315–1,325 (high $1,600, low $930). Berenberg upgraded to Buy on 15 September, target $1,400.

What decides the next twelve months

When	Event	Why it matters
Q4 2026	CVS formulary access takes effect	The only pre-announced negative. Management has said net price will fall; the test is volume offset
Late Oct 2026	Q3 2026 earnings	First quarter containing the Medicare Bridge and a ramping Foundayo
Ongoing	Medicare GLP-1 Bridge ramp	Live since 1 Jul — 20m eligible at $50/month. 60–70% new to treatment, ~80% injectable
Q1 2027	Retatrutide US BLA submission	Highest-stakes dated event. Contingent on litigation Lilly has already lost once
2027	Lebanon, Indiana API site opens	Largest API site in US history; supplies tirzepatide, Foundayo, retatrutide; tariff hedge
2027	EMBER-4 adjuvant readout (imlunestrant)	Inluriyo holds >50% NRx share of the metastatic oral SERD market; adjuvant is far larger
Unscheduled	MFN drug-pricing policy	The largest unhedged policy variable; the tariff exemption does not address it

Appendix

Figure 5 | Mounjaro mix shifts abroad

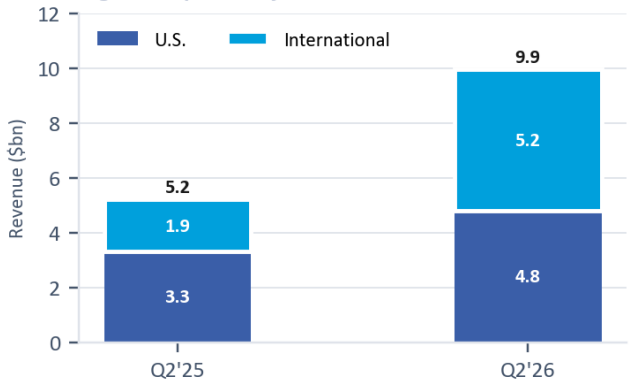
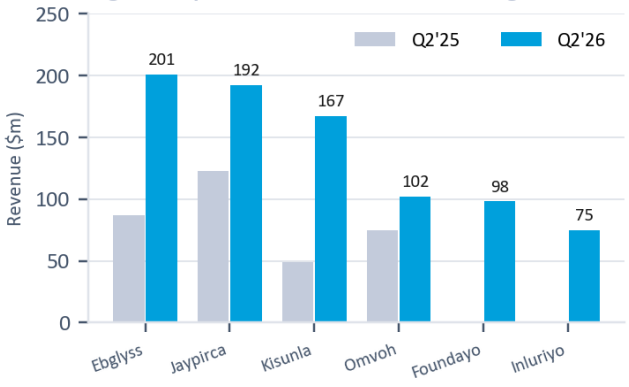


Figure 7 | Newer launches are scaling



Selected financials

$m unless noted	Q2 2026	Q2 2025	% chg	H1 2026	H1 2025	% chg
Revenue	**22,974**	**15,558**	**+48%**	**42,773**	**28,286**	**+51%**
— United States	14,413	10,814	+33%	26,532	19,304	+37%
— Outside U.S.	8,561	4,743	+80%	16,241	8,983	+81%
Cost of sales	3,268	2,448	+33%	6,845	4,672	+47%
Research and development	3,819	3,336	+14%	7,329	6,070	+21%
Marketing, selling & admin	3,430	2,753	+25%	6,364	5,221	+22%
Acquired IPR&D	2,776	154	n.m.	3,360	1,726	+95%
Operating income (GAAP)	**8,978**	**6,867**	**+31%**	**17,893**	**10,562**	**+69%**
Net income (GAAP)	**7,095**	**5,661**	**+25%**	**14,491**	**8,420**	**+72%**
Diluted EPS, GAAP ($)	7.94	6.29	+26%	16.19	9.35	+73%
Diluted EPS, non-GAAP ($)	**8.38**	**6.31**	**+33%**	**16.94**	**9.65**	**+76%**
Operating cash flow	—	—	—	16,023	4,753	+237%
Free cash flow	—	—	—	10,764	1,546	n.m.

Source: LLY Form 10-Q for the quarter ended 30 June 2026 and Form 8-K furnished 5 August 2026.

Product primer

Mounjaro is the injectable dual GLP-1/GIP for type 2 diabetes. Zepbound is the same tirzepatide molecule sold for obesity. Foundayo (orforglipron) is the daily oral small-molecule GLP-1, approved for obesity in April 2026 and submitted for type 2 diabetes during the quarter; its differentiator against Novo's oral Wegovy is the absence of food restrictions. Retatrutide is the investigational triple GIP/GLP-1/glucagon agonist. Trulicity is the former diabetes franchise being actively cannibalised by Mounjaro. Verzenio is the non-GLP-1 blockbuster in breast cancer. Jardiance, Taltz and Humalog are legacy blockbusters in diabetes, psoriatic disease and insulin. Newer launches: Ebglyss (atopic dermatitis), Jaypirca (CLL), Kisunla (Alzheimer's), Omvoh (IBD), Inluriyo (imlunestrant, breast cancer).

Why we own it

Lilly is the leading player in the incretin category. Mounjaro, Zepbound and Foundayo together represent roughly two-thirds of revenue; the remaining third is a diversified oncology, immunology and neuroscience base alongside a shrinking legacy insulin franchise. The moat rests on manufacturing scale, clinical data depth and payer relationships built over decades — Lilly has committed over $21bn to US capacity since 2020, including the Lebanon, Indiana campus, a scale advantage that is slow to replicate given the complexity of peptide synthesis at volume. The dual GLP-1/GIP mechanism has produced superior head-to-head data against semaglutide, and the next-generation pipeline is designed to extend that lead rather than defend it. Treatment penetration remains mid-single-digit against a market forecast near $100bn by 2030, so the category can grow without participants taking share from each other.

The counterweight: Novo Nordisk is down 26% over 52 weeks and trades at 14.3x forward with a 49% operating margin nearly matching Lilly's. That is the worked example of what happens when an incretin narrative premium deflates on a next-generation disappointment — the margin did not protect the multiple. Lilly's premium is substantially a retatrutide premium, and retatrutide's filing pathway is unresolved.

Sources

Primary: LLY Form 8-K Q2 2026 earnings release (5 Aug 2026); Form 10-Q for the quarter ended 30 Jun 2026; Form 10-K FY2025; DEF 14A 2026 — all archived in 01_filings/. Q2 2026 earnings call transcript — 02_transcript/. Market, valuation, ownership and short-interest data: StockAnalysis.com as of 18 Sep 2026 — 04_market_data/, 05_ownership_short/. Consensus and estimate revisions: third-party compilations — 07_analyst_sentiment/. Valuation model — 08_dcf_model/. Peer data — 09_peer_analysis/. Patent, governance and catalyst detail — 10_company_specific/. Regional growth beyond the US/ex-US split is from management commentary on the Q2 call and is not separately disclosed in the Form 10-Q.

Consensus EPS for the quarter is disputed across vendors ($6.01 vs. $8.84) because of differing treatment of acquired IPR&D; both are reported above rather than one being selected. This document is internal research prepared from public sources. It is not investment advice, is not personalised, and is not a recommendation to buy or sell. No rating or price target is issued.